

GENERAL/FINANCED RESIDENTIAL CONTRACT

The undersigned Buyer(s) _____ hereby agree(s)
(Print Name)

to purchase, and the undersigned Seller(s) _____
(Print Name)

hereby agree(s) to sell the following described real estate, together (Print Name) with all improvements, shrubbery, planting, fixtures and appurtenances (the "**Property**") situated in the City of _____ County of _____, Alabama, on the terms stated below:

Address: _____ Zip Code _____

Legal Description: _____

Map Book _____ Page _____ **AND/OR** complete parcel ID _____ MLS ID: _____

THE ☐ BUYER ☐ SELLER IS AN ALABAMA REAL ESTATE LICENSEE.

1. AGENCY DISCLOSURE:

The Listing Licensee, _____ is: The Selling Licensee, _____ is:

☐ An agent of the Seller

- A dual agent

☐ Assisting the Seller as a transaction facilitator

☐ An agent of the Buyer

- A dual agent

- ☐ Assisting the Buyer as a transaction facilitator

SELLER INITIALS _____ **BUYER INITIALS** _____

THE TOTAL PURCHASE PRICE OF THE PROPERTY SHALL BE: \$

Earnest Money under this Contract shall be \$

2. PURCHASE MONEY: *(Check as applicable)*

(A) ☐ (1) **CASH:** Buyer will either pay cash **or** obtain financing for the purchase of the Property, but Buyer's obligation to close this transaction is **not** contingent on obtaining financing. Buyer will provide to Seller a letter of deposit/financial capability to purchase within seven (7) calendar days from the **Effective Date** (as hereinafter defined in Paragraph 30).

☐ (2) **FINANCING:** This Contract is contingent on Buyer obtaining approval of a ☐ Conventional ☐ FHA ☐ VA ☐ Other _____ loan in the amount of \$ _____ or _____ % of the Purchase Price (excluding any financed loan costs) at the prevailing interest rate and loan costs (the "**Financing Contingency**"). **If FHA or VA financing is utilized, the "FHA/VA Amendatory Clause Addendum" must be a part of this Contract.** Buyer will apply for financing and will provide any and all credit, employment, financial and other information required by Buyer's selected lender within ____ days (7 days if left blank), of the **Effective Date**. Either party may cancel this Contract if Buyer cannot obtain financing as specified above and delivers to Seller evidence of a written notice from Buyer's lender to Buyer stating that Buyer is ineligible for financing by _____, 20____ (the "**Finance Contingency Period**"). In the event this Contract is terminated pursuant to the previous sentence, both parties shall execute a Termination and Mutual Release Agreement and all Earnest Money shall be released pursuant to the terms described in Paragraph 5 below. **No terms of the Financing Contingency shall be amended without the written agreement and consent signed by both Buyer and Seller.**

(B) APPRAISAL CONTINGENCY: This Contract ☐ is ☐ is not contingent upon the Property appraising for the Purchase Price or higher. If this Contract is contingent upon the appraised value, and the Purchase Price exceeds the appraised value of the Property, Buyer may elect to terminate this Contract by delivering written notice of its election to terminate, together with a copy of the appraisal report at issue, to Seller within three (3) days after Buyer is delivered such appraisal report. In the event Buyer timely delivers the notice of the election to terminate and the appraisal report to Seller, Seller may, but is not required to, unilaterally amend the Purchase Price such that it meets the appraised value. Otherwise, this Contract shall terminate, and the Earnest Money shall be released pursuant to the terms of Paragraph 5 below.

SELLER INITIALS _____ BUYER INITIALS _____

(C) BUYER/SELLER COSTS: Unless otherwise agreed herein, Buyer is to pay all closing costs, prepaid expenses, funding fees, recording fees, discount points, and any lender required or related fees, except that if FHA or VA financing is involved Seller will pay all costs that Buyer is prohibited from paying under the rules and regulations of FHA/VA. Buyer and Seller acknowledge that in the event this Contract is terminated or does not close for any reason, fees or costs paid by either party prior to closing may not be refundable.

☐ **Buyer Broker Compensation (Optional):** Seller agrees to pay to Buyer's Broker ____ % of the Purchase Price (0% if left blank) and/or \$_____ (\$0 if left blank), which is due and payable at closing (the "**Broker Compensation Credit**"). The Broker Compensation Credit shall be credited to Buyer's broker compensation from Seller's sales proceeds at Closing.

☐ **Seller Concession (Optional):** Seller to contribute up to \$_____ (\$0.00 if left blank) to be applied toward Buyer's expenses, as allowed by Buyer's lender, including closing costs, recording fees, discount points, buyer broker compensation and prepaid items. The Seller Concession is in addition to the expenses Buyer is prohibited from paying under the rules and regulations of the FHA/VA. **Seller acknowledges and agrees that Buyer enjoys the right to apply the Seller Concession against any closing costs payable by Buyer at Closing in Buyer's sole discretion, including any amounts payable to Buyer's broker compensation.**

NOTE: Agent compensation is not set by law or by any REALTOR® Association, including The Birmingham Association of REALTORS®, and is fully negotiable. The Association of REALTORS® does not fix, control, recommend or suggest fees or rates for services by its members.

SELLER INITIALS _____ BUYER INITIALS _____

(D) LENDER REQUIRED REPAIRS: In the event this Contract is subject to the Financing Contingency and the lender requires any repairs to the Property as a condition of Buyer's loan approval (the "**Lender Required Repairs**"), then Buyer shall notify Seller of such required repairs. Within five (5) calendar days of Buyer delivering notice of such Lender Required Repairs to Seller, Seller shall notify Buyer whether Seller agrees to complete the Lender Required Repairs prior to Closing. In the event Seller agrees to complete the Lender Required Repairs, such repairs shall be completed prior to Closing. In the event Seller declines to complete the Lender Required Repairs, Buyer may unilaterally terminate this contract by providing written notice to Seller, and in the event of such termination, the Earnest Money shall be released pursuant to the terms of Paragraph 5 below.

(E) SALE OF BUYER'S PROPERTY CONTINGENCY: This Contract ☐ is ☐ is not contingent upon the closing of a sale of the Buyer's property. If this Contract is contingent upon the closing of a sale of the Buyer's property, an **Addendum for Property Sale Contingency** must be signed by both Buyer and Seller and be attached and made a part of this Contract.

SELLER INITIALS _____ BUYER INITIALS _____

3. CLOSING & POSSESSION DATES: The sale shall be closed and the deed delivered (the "**Closing**") on or before _____, 20____. (the "**Closing Date**"). However, if Paragraph 2(A)(2) is selected and closing funds from Buyer's lender(s) are not available on Closing Date due to Consumer Financial Protection Bureau Closing Disclosure delivery requirements (CFPB Requirements), then Closing Date will be extended for such period necessary to satisfy CFPB Requirements, provided such period does not exceed seven (7) calendar days. Possession is to be given at closing; otherwise, possession shall be delivered on _____ (Date) at _____ ☐ (AM) ☐ (PM). **If possession is to occur on a different date than the delivery of the deed, it is recommended that the parties enter into a written occupancy agreement.** In the event Seller retains possession of the property beyond the day of closing, Seller does hereby guarantee and warrant that on the date of surrender of occupancy by Seller, the property shall be in substantially the same condition as the day of closing. This provision shall survive the closing and delivery of the deed.

SELLER INITIALS _____

BUYER INITIALS _____

4. DATES AND TIMES ARE OF THE ESSENCE. The Closing Date and other dates and times identifying deadlines for the performance of any obligation under this Agreement are OF THE ESSENCE and are binding. No date or period of time described herein may be amended or extended unless upon the mutual written agreement of Buyer and Seller or unless otherwise provided herein. All references to days are calendar days. When calculating dates, the calendar date in which any period of time commences shall not be included in the number of days being calculated, however, the final day of such period of time shall be included. The deadline for any obligation herein shall be performed prior to 11:59 P.M., Central Time on the date in which any calculated period of time expires. For example and by way of illustration only: in the event the Effective Date is January 1, the calendar day occurring three (3) days after the Effective Date would be January 4, and the performance of any obligation related to such period of time must be performed by the obligated party on or prior to 11:59 P.M. Central Time on January 4 regardless of the time of day in which this Contract was executed.

5. EARNEST MONEY: Within three (3) days of the **Effective Date**, the Buyer shall deliver to _____ the Earnest Money which shall be promptly deposited into an escrow account. If the Earnest Money is in the form of cash, it shall be deposited immediately. Should Buyer fail to deliver the Earnest Money within 3 days of the **Effective Date**, Seller may void this Contract at the sole option of the Seller. In the event Buyer delivers a personal check to satisfy its obligation to deliver the Earnest Money, and such personal check is rejected by any financial institution such that the funds described under the personal check cannot be drawn, this shall be considered a failure of Buyer's obligation to deliver the Earnest Money, and Seller may unilaterally terminate this Contract at the sole option of the Seller. If the Contract is accepted and signed by all parties and the sale does not close, a separate mutual release signed by all parties to this Contract will be required before the Earnest Money will be disbursed. In the event either Buyer or Seller claims the escrowed funds without the agreement of the other party, any holder of the escrowed funds, as prescribed by Alabama Real Estate License Law Rule: 790-X-3-.03 (4), (5), must either (1) retain the escrowed funds until there is a written mutual release among the parties; (2) interplead the disputed portion of the funds into the appropriate court, and shall be entitled to deduct from the escrowed funds any and all court costs, attorney fees and other expenses relating to the interpleader; or (3) disburse the escrowed funds in accordance with the directions of a non-appealable order of a court of competent jurisdiction.

SELLER INITIALS _____

BUYER INITIALS _____

6. TITLE INSURANCE: Buyer requests ☐ a standard ALTA (American Land Title Association) form owner's title insurance policy ☐ an enhanced ALTA (American Land Title Association) form owner's title insurance policy at ☐ Buyer's ☐ Seller's expense, issued by a company qualified to insure titles in Alabama, in the amount of the purchase price, insuring Buyer against loss on account of any defect or encumbrance in the title, subject to exceptions herein, including Paragraphs 8 and 13(C) below; otherwise, the Earnest Money shall be released pursuant to the terms of Paragraph 5 above. In the event both owner's and first mortgagee's title policies are required to be obtained at the time of closing, the total cost of the two policies will be at ☐ Buyer's ☐ Seller's expense ☐ divided equally between Buyer and Seller even if the first mortgagee is Seller. Seller shall have until the closing date within which to perfect title or cure defects in the title to the Property. Should Seller be unable to perfect title or cure defects in the title to the Property by the date of closing, the Contract shall be voidable at the option of the Buyer.

SELLER INITIALS _____

BUYER INITIALS _____

7. PRORATIONS: Unless otherwise agreed herein, ad valorem taxes, insurance transferred, accrued interest on mortgage(s) assumed, and fire district or other dues, fees or assessments are to be prorated between Buyer and Seller as of the Closing Date, and any existing escrow deposits shall be credited to Seller. Unless otherwise agreed herein, all ad **valorem** taxes except municipal taxes are presumed to be paid in arrears for purposes of proration; municipal taxes, if any, are presumed to be paid in advance. Seller represents and warrants that the Property ☐ **is** ☐ **is not** currently subject to Class III (homestead) residential property tax. If Seller represents that property is classified as Class III Property and this representation is in error, then Seller shall reimburse to Buyer any additional property tax for the current tax year which is in excess of that which would be due had the property been class titled as Class III. This obligation will survive Closing.

SELLER INITIALS _____

BUYER INITIALS _____

8. CONVEYANCE: Seller agrees to convey the Property to Buyer by _____ warranty deed, (check here ☐ if Buyer desires that title be held as joint tenants with rights of survivorship), free of all encumbrances except as permitted in this Contract. Seller and Buyer agree that any encumbrances not herein excepted or assumed may be satisfied at the time of Closing from sales proceeds. The Property is sold and is to be conveyed subject to any mineral and/or mining rights not owned by Seller. Seller makes no representation of Buyer's intended use of the Property. Buyer is responsible for determining that the current zoning is suitable for Buyer's intended use of the property.

SELLER INITIALS _____

BUYER INITIALS _____

To be completed by Seller: If Seller owns the Property as joint tenants with rights of survivorship, entering into agreement to sell the Property may destroy the joint tenancy with right of survivorship and result in a tenancy-in-common unless the Seller expressly reserves the right to maintain the joint tenancy with rights of survivorship until this transaction closes. Seller ☐ **does** ☐ **does not** desire to maintain the joint tenancy with rights of survivorship. **The Seller should consult an attorney if the Seller has any questions about the legal effect of this paragraph.**

SELLER INITIALS _____

9. HAZARD INSURANCE: Buyer understands that Buyer is solely responsible for securing acceptable hazard and flood insurance on the Property. Buyer shall obtain evidence of insurability at a premium rate acceptable to Buyer within _____ days (7 days if left blank) of the **Effective Date** (the "**deadline**"). ***TIME IS OF THE ESSENCE in regard to Buyer's obligation to determine the insurability of the property on or before the deadline.*** Should Buyer be unable to obtain evidence of insurability at a premium rate acceptable to Buyer, Buyer may elect to terminate this Contract by delivering written notice to Seller prior to the expiration of the **deadline**. In the event the Contract is terminated pursuant to the previous sentence, the Earnest Money shall be released according to the terms of Paragraph 5 above. Failure by the Buyer to notify Seller of Buyer's election to terminate this Contract by the expiration of the **deadline** shall conclusively be deemed acceptance by Buyer of any insurance premium rate available.

SELLER INITIALS _____

BUYER INITIALS _____

10. BUYER'S DUTY TO INSPECT: ***Buyer acknowledges that Alabama is a caveat emptor ("buyer beware") state, and that Buyer has the independent duty and responsibility to thoroughly inspect the Property for conditions of the property, defects or other relevant matters prior to Closing.*** Buyer further acknowledges that independent professional inspection services and/or contractors may be engaged for this purpose. These independent professional inspection services include but are not limited to general home inspection, sewer lines inspection, structural inspection, electrical inspection, termite inspection, mold inspection, radon testing, EIFS inspection, HVAC inspection, and drywall and/or LEAD-BASED PAINT inspection. ***The real estate broker(s) and agent(s) strongly recommend the use of such professionals but endorse none of them.*** Buyer is encouraged to engage and pay for independent professional inspection services and/or contractors, rather than using previous inspection reports provided by Seller, or allowing Seller to pay for such inspection reports, or using an inspector recommended by Seller. The real estate broker(s) and agent(s) do not warrant, guarantee, or endorse any particular professional inspection service and/or contractor. Buyer understands and agrees that real estate broker(s) and agent(s) do not have the expertise to

determine the Property's condition, and therefore Buyer will not rely and has not relied on any statement, opinion, or representation made by the real estate broker(s) and agent(s) regarding the condition of the Property. Buyer further understands that if the real estate broker(s), agent(s) or representative is present at or accompanying Buyer on an inspection of the Property, it will be as courtesy and not as a person qualified to detect any defects. ***Buyer acknowledges and agrees that all Inspections described herein are the responsibility of Buyer. Unless otherwise agreed, Buyer shall be responsible for payment for Inspection services regardless of whether the transaction contemplated herein proceeds to Closing. After Closing, all conditions of the Property are the responsibility of Buyer unless otherwise agreed in writing by Buyer and Seller.***

SELLER INITIALS _____ BUYER INITIALS _____

11. CONDITION OF PROPERTY: *Neither Seller nor Real Estate Broker(s) nor any Real Estate Agent(s) makes any representations or warranties regarding condition of the Property except to the extent expressly set forth herein. Buyer acknowledges that Buyer has the independent duty and responsibility to determine all conditions of the Property material to the Buyer's decision to purchase the Property* including but not limited to the structural condition, the condition of the heating, cooling, plumbing and electrical systems and any built-in appliances; the roof and the basement, including leaks therein; the presence of asbestos or toxic mold; the presence of arsenic in treated wood; the school districts for the subject property; the presence of hazardous dry wall; square footage; the size and area of the property; quality of construction materials and workmanship; the proper construction of any improvements located upon the Property; utility and sewer or septic system availability, condition and location; subsurface and subsoil conditions, sinkholes and mining or other soil conditions including radon or other potentially hazardous gases or toxic materials; presence of, or damage from, wood destroying insects and/or fungus (Wood Infestation Inspection Report); Property access, easements, covenants, restrictions, developments, or structures; and any matters affecting the character of the neighborhood. Unless otherwise excepted, Seller will provide access and utilities for Buyer's inspections, if any, until Closing. **NOTE: LENDERS AND/OR PUBLIC AUTHORITIES MAY REQUIRE CERTAIN INVESTIGATIONS, SUCH AS TERMITE AND SEPTIC TANK INSPECTIONS (FOR WHICH REPAIRS MAY BE REQUIRED). THIS DOES NOT REPLACE BUYER'S DUTY TO THOROUGHLY INSPECT THE PROPERTY PRIOR TO CLOSING.** Buyer shall have the obligation to determine the condition of the Property in accordance with "A", "B" or "C" below. Buyer and Seller shall select either "A", "B" or "C", **but shall not select more than one option.**

☐ **(A) SALE OF PROPERTY NOT CONTINGENT UPON INSPECTIONS, NO RIGHT TO INSPECT, NO REPAIRS TO BE REQUESTED:** Buyer waives the right to conduct any inspections of the Property including those additional inspections set out in Paragraphs 13(A), (B), and (C) of this Contract, and agrees to accept the Property in "AS IS" condition without any warranties or guarantees as to any aspect or condition of the Property, its systems or appliances. Seller gives **no warranties** on any systems or appliances being in good working order either now or at the time of Closing. Buyer agrees not to make any request for repairs of the Seller, and repair requests discussed elsewhere in this Contract shall not apply. Buyer accepts total responsibility for all repairs, conditions and/or defects in the Property. This Paragraph shall not be interpreted to alter Seller's obligation to deliver title to the Property as described in Paragraphs 6 and 8 above.

SELLER AND BUYER SHALL INITIAL BELOW **IF AND ONLY IF** *OPTION "A"* IS SELECTED ABOVE.

SELLER INITIALS _____ BUYER INITIALS _____

☐ **(B) SALE OF PROPERTY CONTINGENT UPON INSPECTIONS, NO REPAIRS TO BE REQUESTED:** Buyer reserves the right to conduct any inspections of the Property at Buyer's expense during the period of time commencing on the **Effective Date** and expiring _____ calendar days after the **Effective Date** (10 calendar days if left blank) ("**Inspection Period**"). Seller agrees to ensure that all utilities at the property shall be connected and active during the **Inspection Period**. The **Inspection Period** shall not start until all utilities are connected and active at Seller's expense. If such inspections reveal conditions that are unsatisfactory to Buyer, Buyer at Buyer's sole discretion may elect to terminate this Contract, no later than three (3) calendar days after the end of the **Inspection Period** by providing written notice to Seller. Buyer agrees not to make any request for repairs of the Seller under this Paragraph 11(B). Failure of Buyer to provide written notice of termination no later than three (3) calendar days after the end of the **Inspection Period** shall constitute a waiver of this inspection contingency and conclusively be deemed acceptance of the Property in As-Is condition by the Buyer, including

ordinary wear and tear until closing. This Paragraph shall not be interpreted to alter Seller's obligation to deliver title to the property as described in Paragraphs 6 and 8 above.

Buyer and Seller acknowledge that wood infestation inspection, sewer/septic system inspection, and survey do not fall under the **Inspection Period**, and may be performed in accordance with paragraph 13. Buyer and Seller acknowledge and agree that repair requests relating to wood infestation inspections, sewer/septic system inspections, and survey are not governed by this Paragraph 11(B), and instead are governed in accordance with Paragraphs 12 and 13.

SELLER AND BUYER SHALL INITIAL BELOW **IF AND ONLY IF OPTION "B"** IS SELECTED ABOVE.

SELLER INITIALS _____ BUYER INITIALS _____

☐ (C) **SALE OF PROPERTY CONTINGENT UPON INSPECTIONS, RIGHT TO REQUEST REPAIRS:** Buyer reserves the right to conduct any inspections of the Property at Buyer's expense, during the period of time commencing on the **Effective Date** and expiring _____ calendar days after the **Effective Date** (10 calendar days if left blank) ("**Inspection Period**"). Seller agrees to ensure that all utilities at the property shall be connected and active during the **Inspection Period**. The **Inspection Period** shall not start until all utilities are connected and active at Seller's expense. If such inspections reveal conditions that are unsatisfactory to Buyer, Buyer at Buyer's sole discretion may elect to (a) terminate this Contract, (b) provide Seller with a written list of items requested by Buyer to be repaired at Seller's expense, or (c) waive Buyer's right to deliver a written list of repair requests and waive Buyer's right to terminate. Buyer shall exercise either option by written notice delivered to Seller no later than three (3) calendar days after the end of the **Inspection Period**. This Paragraph shall not be interpreted to alter Seller's obligation to deliver title to the property as described in Paragraphs 6 and 8 above.

In the event that Buyer provides notice that repairs are requested, any such request for repairs shall be governed by Paragraph 12 of this Agreement. Failure of Buyer to provide a list of requested repairs to Seller in writing no later than three (3) calendar days after the end of the **Inspection Period** shall constitute a waiver of this inspection contingency and conclusively be deemed acceptance of the Property in As-Is condition by the Buyer, including ordinary wear and tear until closing.

Buyer and Seller acknowledge that wood infestation inspection, sewer/septic system inspection, and survey do not fall under the **Inspection Period**, and may be performed in accordance with paragraph 13. Buyer and Seller acknowledge and agree that repair requests relating to wood infestation inspections, sewer/septic system inspections, and survey are not governed by this Paragraph 11(C), and instead are governed in accordance with Paragraphs 12 and 13.

SELLER AND BUYER SHALL INITIAL BELOW **IF AND ONLY IF OPTION "C"** IS SELECTED ABOVE.

SELLER INITIALS _____ BUYER INITIALS _____

12. REQUEST FOR REPAIRS

(A) If Buyers makes a written request of Seller to correct unsatisfactory conditions revealed from any inspections set out in Paragraphs 11(C), 13(A), 13(B), and 13(C), Seller shall respond to Buyer by written notice delivered to Buyer within _____ calendar days (3 calendar days if left blank) of receipt of such request as to whether Seller is willing to correct the unsatisfactory conditions at Seller's expense. If Seller fails to timely respond, Seller declines to correct the unsatisfactory conditions.

(B) If Seller elects not to correct the unsatisfactory conditions, Buyer shall respond to Seller by written notice delivered to Seller within _____ calendar days (2 calendar days if left blank) of receipt of Seller's election, and may elect to either (a) terminate this contract and recover the earnest money, or (b) waive in writing the request for correction of unsatisfactory conditions and proceed to close the sale.

(C) It shall conclusively be deemed acceptance of the Property in As-Is condition by the Buyer, including ordinary wear and tear until the closing, if Buyer fails to notify Seller in writing of any unsatisfactory conditions in accordance with Paragraphs 11(C) or 13, or fails to notify Seller in writing of his election to terminate this contract as herein provided.

NOTE: “Ordinary wear and tear” as used in Paragraphs 11(B), 11(C), 12 and 13 shall not be deemed to include material failure of the heating, cooling, plumbing and electrical systems or built-in appliances first occurring after the expiration of the **Inspection Period**. If such a system or appliance suffers material failure after the expiration of the **Inspection Period** but prior to closing, Seller shall pay for any repairs required to restore the system or appliance to an operating condition at least as good as previously existing. After closing all conditions of the Property are the responsibility of the Buyer unless otherwise stated within this Contract.

SELLER INITIALS _____ BUYER INITIALS _____

13. ADDITIONAL INSPECTIONS: The additional inspections set forth in this paragraph shall be completed by _____ (Date) (“**Additional Inspection Period**”). The Buyer has _____ days (3 days if left blank) after the **Additional Inspection Period** in which to make any request for repairs or corrections as a result of these additional inspections by providing the Seller with a written list of the requested repairs or corrections along with copies of the inspection reports. Any such requests for repairs or corrections shall be governed by Paragraph 12. Should Buyer fail to timely notify Seller in writing of the requested repairs or corrections as a result of these additional inspections, such failure shall conclusively be deemed acceptance of the Property in As-Is condition by the Buyer, including ordinary wear and tear until Closing.

(A) TERMITE AND/OR WOOD INFESTATION/FUNGUS INSPECTION AND REPORT:

(1) **Wood Infestation Inspection Report.** Real estate brokers and agents strongly recommend that Buyer obtain a wood infestation inspection report from a licensed pest control company. **Buyer's obligation to close ☐ is ☐ is not conditioned upon** Buyer obtaining a Wood Infestation Inspection Report provided by an Alabama licensed pest control company indicating that there is no present existence of wood infestation of insects or fungi on or before Closing. ☐ **Buyer ☐ Seller** shall be responsible for ordering and bearing the cost of the inspection and Wood Infestation Inspection Report. In the event that Buyer provides written notice to the Seller that repairs are required, any such request for repairs shall be governed by Paragraph 12 of this Contract.

SELLER INITIALS _____ BUYER INITIALS _____

(2) **Termite Agreement (Contract).** **Buyer's obligation to close ☐ is ☐ is not conditioned upon** Buyer obtaining a termite service agreement effective at Closing provided by an individual or entity licensed to provide such agreement and perform such services in the state of Alabama. In the event Buyer's obligation to close is conditioned upon Buyer obtaining a termite service agreement and Seller holds an existing transferable termite service agreement, the agreement shall be assigned or otherwise transferred at ☐ **Buyer's ☐ Seller's** expense. In the event Buyer's obligation to close is conditioned upon Buyer obtaining a termite service agreement but Seller does not hold an existing transferrable termite service agreement, the cost to obtain a new termite service agreement shall be borne by ☐ **Buyer ☐ Seller**, and the new service agreement shall be ordered by the party paying for the agreement. The Real Estate Broker(s) and Agent(s) make no representations as to the terms or conditions of any termite service agreement.

SELLER INITIALS _____ BUYER INITIALS _____

(B) SEWER/SEPTIC SYSTEMS: To the best of Seller's knowledge the Property ☐ is ☐ is not connected to a sanitary sewer system. **Seller ☐ has ☐ has not** paid all impact and connection fees. If Property is not on sewer, **Seller** represents that the **Property ☐ is ☐ is not** connected to septic system. **Buyer's obligation to close ☐ is ☐ is not conditioned upon** Buyer obtaining an inspection report at Buyer's expense prepared by an individual or entity licensed to conduct such repairs indicating that the sewer or septic system appurtenant to the Property is in good working condition. Real estate broker(s) and agent(s) recommend that the sewer/septic system be inspected. If Buyer elects NOT to have the sewer/septic system inspected, then Buyer releases Seller, Real Estate Broker(s) and Agent(s) from any and all liability for any defects or deficiencies with the sewer/septic system which may be discovered in the future, whether such defects or deficiencies exist at Closing or develop thereafter. In the event that Buyer provides written notice to the Seller that repairs

are required, any such request for repairs shall be governed by Paragraph 12 of this Contract.

SELLER INITIALS _____ BUYER INITIALS _____

(C) SURVEY: The Real Estate Broker(s) and Agent(s) strongly recommend that a new survey be obtained on all purchases of real property. Buyer's obligation to close ☐ is ☐ is not conditioned upon Buyer obtaining a survey to be delivered to Buyer by a registered Alabama land surveyor of Buyer's choosing and at Buyer's expense. Buyer shall be responsible for ordering the survey. In the event Buyer provides written notice to the Seller that corrections are required of unsatisfactory issues or conditions revealed by the survey, any such request for corrections shall be governed by Paragraph 12 of this Contract.

If Buyer elects NOT to have a new survey, then Buyer releases Seller, Real Estate Broker(s) and Agent(s) from any and all liability for conditions which would have been revealed from a survey performed by a registered Alabama land surveyor. Further, unless otherwise agreed herein, the Property is purchased subject to utility easements, residential subdivision covenants and restrictions, if any, and building lines of record, if any.

SELLER INITIALS _____ BUYER INITIALS _____

14. HAZARDOUS DRYWALL: This tainted wallboard often gives off a foul odor, corrodes copper, electrical wiring and other metal surfaces and may cause serious health problems with prolonged exposure. Real Estate Broker(s) and Agent(s) recommend that Buyer requests the home inspector to inspect for this drywall problem, or hire an inspector specifically trained in discovering defective drywall, if Property was either built or renovated since 2001.

15. LEAD-BASED PAINT AND/OR LEAD-BASED PAINT HAZARDS: LEAD BASED PAINT DISCLOSURE is required and attached hereto ☐ YES ☐ NO. If a residential dwelling built prior to 1978 is located on the Property, Federal law requires that certain disclosures be made by the Seller to the Buyer and that this Contract be made subject to a lead-based paint testing contingency. If required under federal law, a copy of the disclosure information form and the Contract lead-based paint testing contingency language are attached hereto.

SELLER INITIALS _____ BUYER INITIALS _____

16. ZONING, SUBDIVISION REGULATIONS, SUBDIVISION RESTRICTIONS, RESTRICTIVE COVENANTS AND HOMEOWNER'S ASSOCIATION BYLAWS: Buyer shall be solely responsible for obtaining all records and information regarding the property relative to school systems, zoning, subdivision regulations, subdivision restrictions, restrictive covenants, historic district regulations, and Homeowners' Association requirements. Further, Buyer shall be solely responsible for determining that the Property is suitable to the Buyer's intended use, including any development of alterations to, improvements or construction on the Property.

17. CONDOMINIUM DISCLOSURES: The Property ☐ is ☐ is not a condominium. If the Property is a condominium, Seller shall obtain from the Condominium Owners' Association and deliver to the Buyer within ____ days (5 days if left blank) following the **Effective Date** the following information including the information available under Section 35-8A-409(a) of the Alabama Uniform Condominium Act:

- (A) Recorded Declaration of Condominium and any amendments thereto, Bylaws, Covenants/Restrictions, Rules/Regulations.
- (B) Minutes from last 2 Annual Owners Meetings and last 2 Board of Directors Meetings.
- (C) A statement setting forth the amount of the monthly common expense assessment and any unpaid common expense or special assessment currently due and payable from the selling unit owner.
- (D) A statement of any other fees payable by unit owners.
- (E) The most recent regularly prepared balance sheet and income and expense statement, if any, of the association.
- (F) The current operating budget of the association.
- (G) A statement of any unsatisfied judgments against the association and any pending suit in which the association is a party.

- (H) A statement describing any insurance coverage provided for the benefit of unit owners.
- (I) A statement of the remaining term of any leasehold estate affecting the condominium and the provisions governing any extension or renewal thereof.
- (J) A statement of any restrictions in the declaration affecting the amount that may be received by a unit owner upon sale, condemnation, casualty loss to the unit or condominium or on termination of the condominium.
- (K) Contact information for the association.

Buyer shall have ____ days (5 if left blank) from receipt of disclosures to review and approve, or notify Seller in writing if not satisfactory, otherwise this contingency shall be deemed waived.

SELLER INITIALS _____ BUYER INITIALS _____

18. OWNERS ASSOCIATION ASSESSMENTS: The Property ☐ is ☐ is not subject to any property owners' association. If this Property is subject to a property owners' association:

- (A) Owners Association assessments which become a lien attached to the Property prior to Closing shall be paid by Seller at Closing, without proration.
- (B) Owners Association assessments that are due and payable prior to **Effective Date** shall be paid by Seller at Closing.
- (C) Owners Association assessments that become due prior to Closing but after **Effective Date** shall be paid by ☐ Buyer ☐ Seller (Seller if left blank) at Closing.
- (D) Owners Association assessments that are approved by the Association prior to Closing but do not become due and payable until after Closing shall be paid by ☐ Buyer ☐ Seller (Buyer if left blank) at Closing.
- (E) Owners Association fees/dues will be prorated between Buyer and Seller at Closing.
- (F) Owners Association transfer fees are to be paid by Buyer.
- (G) Fees charged for verification of dues and assessments required for Closing are to be paid by Seller.

SELLER INITIALS _____ BUYER INITIALS _____

19. FIRE/SMOKE/GAS DETECTORS: Buyer shall satisfy himself/herself that all applicable federal, state and local statutes, ordinances and/or regulations concerning fire/smoke/gas detectors or fire protection equipment have been met. Upon closing or after taking possession of the Property, whichever occurs first, Buyer shall be solely responsible for compliance with such laws. Unless otherwise agreed in writing, Buyer hereby holds harmless and releases Seller from any claims related to Seller's compliance or noncompliance with applicable laws governing the installation of fire detectors, smoke detectors or gas detectors within the Property.

20. HOME WARRANTY: Buyer ☐ does ☐ does not require a Home Warranty Policy issued by a company qualified to provide such policies in Alabama, effective for one year commencing on the Closing Date, to be paid by ☐ Seller ☐ Buyer at a cost not to exceed \$ _____ (zero if left blank). Home Warranty Policy shall be selected by Buyer. Buyer acknowledges that the Real Estate Broker(s) and Real Estate Agent(s) have not made any representations or statements regarding the terms and conditions of any Home Warranty.

SELLER INITIALS _____ BUYER INITIALS _____

21. SELLER'S ACKNOWLEDGEMENT: Seller has not received notification from any governmental authority regarding any assessments; pending assessments; pending condemnation proceedings; or pending public improvements, repairs, replacements, or alterations to the Property that have not been satisfactorily made pursuant to the same. Seller warrants that there are no unpaid indebtedness appurtenant to the Property for labor or materials furnished in furtherance of improving the Property except as otherwise disclosed to Buyer in writing. These warranties shall survive Closing.

SELLER INITIALS _____ BUYER INITIALS _____

22. FINAL WALK-THROUGH: Buyer has the right and responsibility to conduct a final walk-through of the Property prior to Closing to solely determine if the items which Seller is obligated to repair or correct under Paragraphs 2(D), 11(C)

and 13 (as applicable) have been satisfied and if the Property is in substantially similar condition since the **Effective Date**, unless otherwise agreed herein. If Buyer determines any of the following: (i) repairs or corrections under Paragraphs 2(D), 11(C) and 13 (as applicable) have not been satisfied; or (ii) the Property is determined to not be in substantially similar condition to its condition as of the **Effective Date** (ordinary wear and tear excepted), then Buyer shall immediately notify Seller in writing as soon as practical, and before closing. Unless otherwise agreed herein, if Seller refuses to pay for the repairs or correct the defects requested by Buyer, Buyer may proceed with the Closing or cancel the Contract and recover the earnest money, or elect to pursue any remedies that the Buyer may have at law or equity for Seller's alleged breach of Seller's obligations under the Contract. Seller's obligation to maintain the Property in a condition substantially similar to that of the condition of the Property as of the **Effective Date** shall include maintenance of any landscaping and outdoor features appurtenant to the Property. If Buyer fails to conduct this walk-through inspection, Seller's obligations relating to any repairs or corrections of the Property shall be deemed fulfilled. Buyer understands that if a real estate agent accompanies Buyer on an inspection or walk-through of the Property it will be as a courtesy and not as a person qualified to detect any defects. *After Closing, all conditions of the Property are the responsibility of the Buyer unless otherwise agreed to in writing by Buyer and Seller.*

SELLER INITIALS _____ BUYER INITIALS _____

23. DISCLAIMER: Seller and Buyer hereby acknowledge and agree that neither have relied upon any advice or representation of the Listing Broker or Company or the Selling Broker or Company or any of their real estate agents ("brokers and agents") regarding the Property, including but not limited to the condition of the heating, cooling, plumbing and electrical systems; any built-in appliances; the roof and basement, including leaks therein; the presence of asbestos or toxic mold; the presence of or damage from wood destroying insects and/or fungus; the presence of vermin or other pest infestations; the presence of arsenic in treated wood; the square footage, size and area of the Property; the quality of construction materials and workmanship, including floors and structural condition; the condition, availability and locations of utilities; the condition, availability and location of the sewer or septic tank system; subsurface and subsoil conditions, sinkholes and mining or other soil conditions including radon or other potentially hazardous or toxic materials and/or gases; Property access easements, covenants, restrictions or development structures; and any matters affecting the character of the neighborhood; the investment or resale value of the Property; the past, present, or future financial stability of the builder or developer or the future insurability of the Property; or the compliance of the builder or developer under any warranty or any related mortgage terms and conditions; or any other matters affecting the willingness of the Seller and Buyer to sell or purchase the Property on the terms and at the Purchase Price herein set forth. Seller and Buyer acknowledge and agree that if such matters are of concern to them in the decision to sell or purchase the Property, they have sought and obtained independent advice relative thereto. Seller and Buyer agree that neither broker nor agent shall be held responsible for any obligations or agreements that Seller or Buyer have to one another hereunder, and Seller and Buyer agree to discharge and release the brokers and agents from any claims, demands, damages, actions, causes of actions or suits at law arising in any way from this Contract or related to the Property or the condition of the Property.

SELLER INITIALS _____ BUYER INITIALS _____

24. RISK OF LOSS: Seller agrees to keep in force sufficient hazard insurance on the Property to protect all interests until this sale is closed. If the Property is destroyed or materially damaged between the **Effective Date** and the closing, and Seller is unable to restore it to its previous condition prior to closing, the Buyer shall have the option of canceling this Contract and recovering the Earnest Money pursuant to Paragraph 5 above, provided that notice of cancellation is received prior to closing, or accepting the Property in its damaged condition. If Buyer elects to accept the Property in its damaged condition, then Buyer is entitled to the proceeds of insurance otherwise payable to Seller for such damage, less any deductible payable by Seller.

25. SELECTION OF SETTLEMENT/CLOSING AGENT: Buyer and Seller hereby agree that the closing of this transaction shall be conducted by a closing attorney or title insurance company selected by Buyer unless otherwise agreed by Buyer and Seller in writing, at the expense of ☐ Buyer, ☐ Seller, or ☐ borne equally between Buyer and Seller.

Buyer and Seller acknowledge that each have a right to legal representation of their own choosing, at their own expense, at all times in connection with this Contract and the closing of this transaction.

SELLER INITIALS _____ BUYER INITIALS _____

26. PERSONAL PROPERTY: Any personal items remaining with the property shall be at no additional cost to Buyer; shall not add to the value of the property; shall be in "AS IS" condition with no warranties, unless otherwise agreed herein; shall be unencumbered at the time of closing; and shall be on **an itemized list attached as an addendum hereto** (said list to be specific as to description and location of such items). The provisions of this Paragraph shall survive the closing and delivery of the deed.

SELLER INITIALS _____ BUYER INITIALS _____

27. FACSIMILE OR ELECTRONIC SIGNATURES: This Contract may be executed and delivered by any party by sending a facsimile of the signature or by a legally recognized e-signature platform. Such facsimile signature or legally recognized e-signature shall be binding upon the party executing it as soon as the signature is received by any other party hereto.

28. OTHER OFFERS WHILE BUYER'S OFFER IS PENDING: Buyer hereby acknowledges that offers other than Buyer's offer may have been made or may be made before Seller acts on or while Seller is considering Buyer's offer or counteroffer. While the Buyer's offer or counteroffer is pending, and before this Contract becomes effective, Seller hereby expressly reserves the right to reject Buyer's offer or counteroffer or to withdraw any offer previously made by Seller to Buyer relating to the Property, and to accept any other offer or counteroffer.

29. ASSIGNMENT: The Parties agree that this Agreement ☐ is ☐ is not assignable. If assignable, Buyer ☐ plans to market his/ her rights under the Agreement, or ☐ does not plan to market his/ her rights under the Agreement. If Buyer plans to market his/her rights under the Agreement, Buyer shall notify Seller of an assignment in writing _____ days (no fewer than 3 days; 3 days if left blank) before the effective date of the assignment in accordance with Alabama law, § 8-42-2, *Code of Alabama*.

SELLER INITIALS _____ BUYER INITIALS _____

30. EFFECTIVE DATE: The "Effective Date" of this Contract is the date on which the fully accepted, signed, and final Contract is delivered to the other party by the last party to sign or initial, with all terms and conditions of the Contract being fully and mutually accepted and agreed to by both parties as evidenced by their respective signatures and/or initials. The last party to sign/initial shall not have made any additional changes or revisions to the Contract prior to signing/initialing. The real estate licensee for the last party signing or initialing shall complete the "EFFECTIVE DATE" field found immediately below the signature fields on the last page to reflect the date on which the fully executed Contract is delivered to the other party, and to certify by signing that the "EFFECTIVE DATE" is the date the final signed Contract was delivered to the other party. No revision, addendum or amendment to this Contract shall amend or revise the "EFFECTIVE DATE" unless specifically provided for under the terms of such revision, addendum or amendment, and mutually agreed upon by Buyer and Seller in writing. *It is strongly recommended that any revisions to this Contract should be prepared via written amendment or addendum prepared by an Alabama licensed attorney, or via contract addendum approved by the Birmingham Association of REALTORS®.* Certain terms and time periods are pre-printed in this Contract as a convenience to the Buyer and Seller.

SELLER INITIALS _____ BUYER INITIALS _____

31. ADDITIONAL PROVISIONS:

SELLER INITIALS _____

BUYER INITIALS _____

32. ENTIRE AGREEMENT AND ASSOCIATION DISCLOSURE: This Contract and any addenda constitute the entire agreement between Buyer and Seller regarding the Property, and supersedes all prior discussions, negotiations, communications and agreements between Buyer and Seller, whether oral, written or via electronic means. To be an enforceable agreement this Contract and any addenda must be signed by both the Seller and Buyer, and initialed where applicable. Any changes to this Contract must be in writing, signed or initialed, and dated by all parties. All representations, communications, claims, advertising, promotional activities, brochures or plans of any kind made by Seller, Real Estate Broker, or Real Estate Agent are not a part of this Contract unless expressly incorporated or stated in this Contract. Neither Buyer, Seller, Real Estate Broker, nor any Real Estate Agent shall be bound by any communication, understanding, agreement, promise, or representation concerning the Property, expressed or implied, not specified herein, except that any prior written agreement concerning the payment of commission and/or compensation payable to Broker shall remain valid, in effect and enforceable. The Birmingham Association of REALTORS®, Inc. is not engaged in rendering legal, accounting or other professional service by approving this form. This form is published as a service to member real estate professionals and an explanation of any legal or tax effect of its various provisions should be obtained from the appropriate legal or tax professional. If a user of this form makes any substantive changes to any portions herein, the form will no longer be an approved form.

SELLER INITIALS _____

BUYER INITIALS _____

Signatures appear on the following page.

THIS IS A LEGALLY BINDING CONTRACT. IF YOU DO NOT UNDERSTAND THE LEGAL EFFECT OF ANY PART OF THIS CONTRACT, SEEK LEGAL ADVICE BEFORE SIGNING.

Seller _____ (DATE) _____

Buyer _____ (DATE) _____

Seller _____ (DATE) _____

Buyer _____ (DATE) _____

EFFECTIVE DATE: _____, 20____. *(Date on which the fully accepted, signed, and final Contract is delivered to the other party by the last party to sign or initial the final Contract.)*

SIGNATURE: _____
Listing Licensee or Selling Licensee

Listing Agent / Team MLS ID: _____

Company Name: _____

Address: _____

Company License No.: _____

Agent Name: _____

Agent Real Estate License No.: _____

Agent
 Email: _____

Agent Phone
 Number: _____

Selling Agent / Team MLS ID: _____

Company Name: _____

Address: _____

Company License No.: _____

Agent Name: _____

Agent Real Estate License No.: _____

Agent
 Email: _____

Agent Phone
 Number: _____